Using the Basic Accounting Equation, record following transactions (along with month-end adjustments) in the accounting books for August-2024. Mention the account name, amount & the sign (+/-) clearly.

a) On 1-Aug-2024, a photocopier was bought for Rs.100,000 by paying 60% cash. It had a useful life of 5 years and nil salvage value.
b) On 1-Jan-2024, premium of Rs.60,000 was paid for one-year fire insurance policy.
c) On 27-Aug-2024, a purchase order was placed with the supplier for goods worth Rs.50,000.
d) On 15-Aug-2024, goods sold for Rs.18,000 on credit. The Gross Profit Margin on this sale was 20%.
e) On 31-Aug-2024, dividends of Rs.60,000 were paid in cash

	Assets		**Liabilities**		**Equity**							
	Account name	**Amt**	**Account name**	**Amt**	**Capital**	**Amt**	**Incomes**	**Amt**	**Expenses**	**Amt**	**Dividends**	**Amt**

Answer is in next page

	Assets		Liabilities		Equity							
	Account name	**Amount**	**Account name**	**Amount**	**Capital**	**Amt**	**Incomes**	**Amt**	**Expenses**	**Amt**	**Dividends**	**Amt**
a1)	Photocopier Cash	+100,000 -60,000	Non-trade payables (or Capital Creditors)	+40,000								
a2)	Photocopier	-1,667							Depreciation expense	1,667		
b)	Prepaid insurance	-5,000							Insurance expense	5,000		
c)	Accounting entry not required as this is not an accounting transaction											
d1)	Trade Receivables	+18,000					Revenue (Sales)	+18,000				
d2)	Inventory	-14,400							CoGS	-14,400		
e)	Cash	-60,000									Dividends	-60,000

Workings

a2) Depreciation per month = 100,000/60 months = 1,667

b) Monthly insurance expense = 60,000/12 months = 5,000. Note that the insurance policy was bought in Jan2024 and not Aug2024.

d2) CoGS = 80% of sales = 18,000*80% = 14,400